

SET UP A SAVINGS ROUTINE

In building your net worth, the first two rules are the most important:

Manage your career

Control your spending

Push your after-tax income from \$40,000 to \$75,000. Cut your housing costs from \$20,000 to \$12,000. Cut your car costs from \$10,000 to \$5,000. If you do those things and nothing more, you're saving big money.

The question now is: how should you invest it?

Chapter 4 tells retirees to invest in bank CDs. If that advice is good enough when you're retired, you could figure it's good enough when you're working. You *could* figure that way, but you'd be wrong.

Workers have more options than retirees. Workers can get into employee stock ownership plans, 401(k) plans, and incentive plans. And workers, with an income stream from their jobs, can accept more risk than retirees.

Rather than buy CDs, I recommend that workers pursue a high-risk/low-risk investment strategy. We'll talk about that strategy in a minute. But first, we need a rule on saving.

In this context "saving" refers not to cutting down on expenditures but to getting money out of your spending stream. We've already seen how to get your income up and your spending down. But unless you get that extra money *out* of your spending stream and *into* wise investments, you may wind up spending foolishly. The rule is:

Set up a savings routine

Your savings routine should have two parts. First, you should enroll in most, if not all, of your company's optional benefit programs. If you're self-employed, you should set up tax-deferred programs like IRAs and Keoghs. Second, you should write yourself a check each pay period.